

Chapter 13 Bankruptcy: Reorganization

Chapter 13 bankruptcy involves reorganization of your debts. You'll need to file a proposal with the bankruptcy court detailing your plan for repayment and include a detailed budget, which could be challenged by the court if the judge, the trustee, or a creditor feels you've padded it with nonessentials. Some debts can be erased altogether, others must be partially repaid, and others must be repaid in full. If the court accepts your proposal, it will probably garnish your wages during the repayment period, which usually lasts three to five years. In Chapter 13 bankruptcy, you can prevent the loss of your home by immediately starting to make your regular mortgage payments and any catch-up payments required by your repayment plan.

How Much Will You Have to Pay?

You must pay all of your missed payments on secured debt, such as your house or car, if you want to keep the asset. In general, expect to devote all of your income after expenses to your required payments. The minimum amount you'll have to repay on your unsecured debt is the value of your nonexempt personal property. Each state has its own laws for determining nonexempt property, but in general, you'll be given an "allowance" that consists of several thousand dollars for a car, part of the equity in your home, necessary clothing, necessary household goods and furniture, appliances, and personal effects. You'll have to repay at least an amount equal to the rest. In other words, if you add up the equity in everything you own and deduct the amount of the exempt items, the difference is the least amount you'll owe. You'll have to pay more than this if you have nonexempt expenses such as child support or back taxes.

The courts have discretion regarding how much of your debts you'll have to repay. Some courts don't require you to pay anything on debts that you aren't legally required to repay in full; others will want you to pay as much as possible. You may be responsible for a filing fee unless your income is low enough that you qualify for an exemption. You may also be required to pay several years of interest on the total value of your nonexempt property